Anbo Commission Charge and Impact to Choice Seller P&L

May 7, 2025

Summary

Choice Anbo Warehouse has leased 56,000 sqm but currently underutilized, incurring a 12,000 sqm unused space and ~160k USD monthly sunk cost. To defray the cost, Choice is launching FBS to Marketplace sellers, proposing offering commission discounts to incentivize 3P sellers to stock inventory in Anbo. This would also reduce these MP sellers BWT and improve Shopee's stock control

So, #1 What MP commission rate that Anbo/Choice should be charged at while considering sunk warehouse unused space cost?

- From User Experience View: can improve the BWT by reducing averagely 1.4-1.7 days for sellers who previously use SLS model convert to using Anbo warehouse FBS service, especially for long tail MP sellers, seller APT can improve by 2.7days
- From Seller Experience and Supply Chain Control View: 2% discount is an attractive incentive for sellers to put stocks in CN warehouse that allows Shopee to take control of the inventory in prep for Q4'25
- From PnL view:
  - For FY25: seller P&L: +0.1mil, 5% of sunk fixed cost coverage with 2% commission discount short-term to attract sellers in, while if offering 3% discount, will be operating at loss
  - For FY26: seller P&L: +1.9mil, covered full sunk fixed cost coverage with no commission incentives and handling fee increase

Meanwhile, Choice and SLS team are now rationalizing SLS Charge Rate discount to Choice, which currently is at ~32% SLS charge rate discount.

So, #2 What SLS discount rate that SLS should apply to Choice?

Per true cost savings in FM+SOC and Linehaul, Choice can enjoy **1-5%** Charging Rate discount vs Marketplace sellers across mkts,

- FM+SOC Cost: lower cost due to domestics delivery and relabelling not required as orders are fulfilled directly E2E (一单到底)
- Line Haul Cost: higher volume contributed by Choice allows SLS to negotiate down pricing from vendors mainly in BSA(包板)
- Consolidation Cost: mainly savings in BR of more order consolidation opportunities that can save Last mile delivery cost due to more order volumes
- However, for Customs Clearance (CC) and Last Mile delivery, adding Choice volume makes little difference, PH CC already hits the high volume tier, and SPX handles last-mile delivery across the market with charges based on intercompany rates per piece and minimal impact to SPX true cost improvements as Choice's volume is only ~1% of the platform total

Then, #3 What is Seller P&L outlook while factoring both commission change and new SLS discount

- Current Choice projection of Seller P&L is to breakeven from Jun/Oct'25 respectively for Lovito/SCS, FY at -0.4mil
- By incorporating changes in commission charge rate and SLS discount rate:
  - From SeaFin view (without adjusting SLS discount in system to avoid volatile performance: Lovito/SCS will be able to achieve FY breakeven at +1.8mil
  - From Management reporting(offline track by factoring SLS new discount per true cost savings): Choice Seller PnL at -29.8mil, unable to achieve FY breakeven

#1 Anbo Commission Charge Proposal: 2% commission discount for Anbo fulfilled orders to attract sellers using FBS service, with benefit of better APT, Shopee's control over stocks and operating profit to cover the sunk cost

Table 1: Anbo Warehouse Utilization Space/Cost

Components	Unit	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25	FY26
Available Warehouse Space	sqm	56,000	56,000	56,000	56,000	56,000	56,000	56,000	56,000	56,000
Utilized space - Choice	sqm	44,000	44,000	44,000	44,000	44,000	44,000	44,000	44,000	44,000
Unutilized space	sqm	12,000	12,000	12,000	12,000	12,000	12,000	12,000	12,000	12,000
Sunk Cost (unutilized cost)	USD, monthly	-166,781	-167,254	-157,670	-161,714	-162,216	-159,361	-159,994 (1)	-1,134,990	-1,919,929

Table 2 : Anbo Warehouse P&L Simulation scenarios by giving commission discount to sellers

Metrics		Unit	Scenario 1: Commission 2% less vs CN SLS		Scenario 2: Commission 3% less vs CN SLS	
			FY25	FY26	FY25	FY26
Key Assumptions	Handling Fee/order	usd/pc	0.20	0.23	0.20	0.23
	Commission Rate Discount (vs CNCB SLS sellers)	%	2%	0%	3%	0%
P&L simulations	A. MP FBS - Storage Revenue	annual, usd	82,661	406,164	83,488	410,226
	B. MP FBS - Handling Profit	annual, usd	265,679	1,517,771	268,336	1,532,949
	Handling Revenue	annual, usd	627,887	3,206,560	634,165	3,238,625
	Less: Handling Cost	annual, usd	-362,207	-1,688,788	-365,829	-1,705,676
	C. MP FBS - Base Commission Foregone	annual, usd	-430,038	0	-651,508	0
	D. Choice - VAT savings on lower base commission	annual, usd	182,089	0	273,134	0
	Total (A+B-C+D)	annual, usd	(2) 100,391	(3) 1,923,936	-26,550	1,943,175
	Sunk Cost recover%	%	9%	100%	-2%	101%

Suggested

>> Detail by month simulation see later slides

Background:

1. Anbo Warehouse is currently underutilised, translating to a sunk cost* of ~160k monthly
- FBS service can **defray part of the cost**, with the long-term goal of full recovery as business scales up

Key Highlights

Suggest a 2% commission discount to incentivise MP sellers to join Anbo warehouse with following considerations

- **From User Experience View:** Shopee can improve the APT by reducing **2.7 days** when outbound from Anbo Warehouse *(>> see next page for details)*
- **From Seller Experience and Supply Chain Control View:** 2% discount is an attractive incentive for sellers to put stocks in CN warehouse that allows Shopee to take control of the inventory in prep for Q4'25
- **From PnL view:**
  - (2) **For FY25**: **seller P&L: +0.1mil,** 5% of sunk fixed cost coverage with 2% commission discount short-term to attract sellers in, while 3% will be operationally negative PnL
  - (3) **For FY26: seller P&L: +1.9mil,** covered full sunk fixed cost coverage with no commission incentives and handling fee increase

vs last walkthrough, key changes
1. Sunk Cost change back to 12K sqm fixed space and ~160K per month loss
2. For scenarios, adding 3% commission discount scenario which showing a negative operating P&L

Note: **Sunk Cost is inclusive of warehouse rental, depreciation, fte staff cost and sg&a;*
assumptions unutilized pace remains same for 2026 vs 2025, and if Choice to use more space, will go out to find cheaper warehouse network

#1 Anbo Warehouse Proposal | Backup: Apart from financial benefits, Shopee can improve the BWT by reducing 1.7 days when outbound from Anbo Warehouse

Table 1 : Apr'25 BWT Comparison between Choice and Non-Choice

		Average (days)					Top 95 percentile (days)				
mkt	BU	BWT	APT	WH Ops	LH	LM	BWT	APT	WH Ops	LH	LM
Total	Non-Choice	**11.6**	1.8	0.8	6.6	2.4	**18.0**	3.9	2.2	11.3	6.1
	SCS	**10.3**	0.7	0.7	6.4	2.5	**16.2**	1.2	2.0	10.9	6.1
	Lovito	**10.1**	0.8	0.7	6.3	2.3	**16.2**	1.2	2.0	11.0	6.0
	Choice vs non-Choice	**-1.4**	**-1.0**	**-0.1**	**-0.2**	**0.0**	1 **-1.7**	2 **-2.7**	**-0.2**	**-0.4**	**-0.1**
SG	Non-Choice	5.1	1.6	0.4	2.0	1.0	7.8	3.8	2.1	3.4	1.9
	SCS	4.2	0.8	0.5	1.9	1.0	6.1	1.2	2.3	2.9	1.9
	Lovito	4.1	0.8	0.4	1.9	1.0	6.0	1.2	2.1	3.5	1.8
	Choice vs non-Choice	**-0.9**	**-0.9**	**0.0**	**-0.1**	**0.0**	**-1.7**	**-2.6**	**0.1**	**-0.3**	**0.0**
MY	Non-Choice	6.3	1.7	0.2	2.7	1.6	10.4	3.8	1.0	4.2	4.4
	SCS	5.1	0.7	0.2	2.6	1.6	8.7	1.2	0.4	3.9	4.3
	Lovito	4.8	0.8	0.2	2.4	1.5	8.4	1.2	0.4	3.7	4.2
	Choice vs non-Choice	**-1.3**	**-1.0**	**-0.1**	**-0.2**	**-0.1**	**-1.8**	**-2.6**	**-0.6**	**-0.4**	**-0.1**
TH	Non-Choice	7.0	1.6	0.2	4.0	1.1	10.4	3.7	0.4	5.9	2.4
	SCS	5.5	0.6	0.2	3.5	1.1	7.7	1.1	0.4	5.0	2.4
	Lovito	5.4	0.7	0.2	3.5	1.1	7.7	1.2	0.4	5.1	2.2
	Choice vs non-Choice	**-1.5**	**-1.0**	**0.0**	**-0.5**	**0.0**	**-2.8**	**-2.5**	**0.0**	**-0.9**	**-0.1**
TW	Non-Choice	6.7	2.4	0.3	2.6	1.5	10.1	4.7	0.4	4.2	3.6
	SCS	5.2	0.9	0.3	2.5	1.5	8.1	1.4	0.4	4.4	3.7
	Lovito	4.8	0.9	0.1	2.3	1.5	7.3	1.3	0.2	3.6	3.7
	Choice vs non-Choice	**-1.8**	**-1.6**	**-0.1**	**-0.2**	**0.0**	**-2.4**	**-3.3**	**-0.1**	**-0.3**	**0.1**
VN	Non-Choice	4.7	1.4	0.2	1.9	1.2	7.3	3.4	0.4	3.2	2.6
	SCS	3.7	0.6	0.2	1.7	1.2	5.7	1.1	0.4	2.7	2.7
	Lovito	3.7	0.7	0.2	1.7	1.1	5.7	1.3	0.4	3.0	2.6
	Choice vs non-Choice	**-1.0**	**-0.8**	**0.0**	**-0.2**	**0.0**	**-1.6**	**-2.2**	**0.0**	**-0.4**	**0.0**
PH	Non-Choice	6.1	1.5	0.2	2.4	1.9	10.8	3.3	1.1	4.3	5.1
	SCS	5.0	0.7	0.2	2.3	1.7	8.0	1.1	0.5	3.9	3.8
	Lovito	4.6	0.8	0.2	2.1	1.6	7.3	1.3	0.4	3.6	3.6
	Choice vs non-Choice	**-1.3**	**-0.8**	**0.0**	**-0.2**	**-0.3**	**-3.1**	**-2.1**	**-0.6**	**-0.5**	**-1.4**
BR	Non-Choice	19.9	1.7	1.2	11.7	5.4	32.9	3.9	4.0	22.4	11.6
	SCS	18.6	0.8	0.8	11.7	5.5	31.7	1.2	3.4	22.1	12.1
	Lovito	20.2	0.8	0.8	13.2	5.5	36.4	1.2	3.4	25.4	11.7
	Choice vs non-Choice	**-0.5**	**-0.9**	**-0.5**	**0.8**	**0.1**	**1.2**	**-2.7**	**-0.7**	**1.3**	**0.3**

Key Highlights

Background: Wef Apr'25, **95%** Choice orders are fulfilled from Anbo Warehouse. Thus, would be a close representative of the no. of days required for future FBS MP Sellers using Anbo WH.

Findings:

1. Choice BWT(95P) is 1.7 days shorter than other MP sellers, mainly driven by shorter APT (Average Preparation Time)
2. Choice APT(95p) is **2.7 days** shorter than other MP sellers, driven by 1) Strategic location of warehouse, 2) Shopee's in-house warehouse operations efficiencies

#1 Anbo Warehouse Proposal | Backup - simulations of operational profit when running FBS Anbo business model by month by giving 2% and 3% commission discount respectively

Scenario 1:

2% Commission less vs CN SLS

Metrics			Scenario 1: Commission 2% less vs CN SLS								
			Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25	FY26
Key Assumptions	*Handling Fee/order*	*usd/order*	0.17	0.21	0.21	0.21	0.21	0.21	0.21	0.20	0.23
	Commission Rate Discount (vs CNCB SLS sellers)	*%*	2%	2%	2%	2%	2%	2%	2%	2%	0%
P&L simulations	**A. MP FBS - Storage Revenue**	*USD, monthly*	**0**	**0**	**8,128**	**12,312**	**16,963**	**20,520**	**24,738**	**82,661**	**406,164**
	B. MP FBS - Handling Profit	*USD, monthly*	**288**	**10,881**	**25,026**	**37,908**	**52,229**	**63,180**	**76,167**	**265,679**	**1,517,771**
	Handling Revenue	*USD, monthly*	4,104	25,575	58,823	89,100	122,760	148,500	179,025	627,887	3,206,560
	Less: Handling Cost	*USD, monthly*	-3,816	-14,694	-33,796	-51,192	-70,531	-85,320	-102,858	-362,207	-1,688,788
	C. MP FBS - 2% Base Commission Foregone	*USD, monthly*	**-3,403**	**-17,547**	**-40,314**	**-61,050**	**-83,964**	**-101,373**	**-122,388**	**-430,038**	**0**
	D. Choice - VAT savings on lower base commission	*USD, monthly*	**24,162**	**24,474**	**23,597**	**24,246**	**26,949**	**28,849**	**29,813**	**182,089**	**0**
	Total (A+B-C+D)	***USD, monthly***	**21,046**	**17,809**	**16,438**	**13,417**	**12,177**	**11,175**	**8,330**	**100,391**	**1,923,936**
	Sunk Cost recover%	*%*								**9%**	**100%**

Scenario 2

3% Commission less vs CN SLS

Metrics			Scenario 2: Commission 3% less vs CN SLS								
			Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25	FY26
Key Assumptions	*Handling Fee/order*	*usd/order*	0.17	0.21	0.21	0.21	0.21	0.21	0.21	0.20	0.23
	Commission Rate Discount (vs CNCB SLS sellers)	*%*	3%	3%	3%	3%	3%	3%	3%	3%	0%
P&L simulations	**A. MP FBS - Storage Revenue**	*USD, monthly*	**0**	**0**	**8,209**	**12,435**	**17,133**	**20,725**	**24,985**	**83,488**	**410,226**
	B. MP FBS - Handling Profit	*USD, monthly*	**291**	**10,990**	**25,277**	**38,287**	**52,751**	**63,812**	**76,929**	**268,336**	**1,532,949**
	Handling Revenue	*USD, monthly*	4,145	25,831	59,411	89,991	123,988	149,985	180,815	634,165	3,238,625
	Less: Handling Cost	*USD, monthly*	-3,854	-14,841	-34,134	-51,704	-71,237	-86,173	-103,887	-365,829	-1,705,676
	C. MP FBS - 3% Base Commission Foregone	*USD, monthly*	**-5,156**	**-26,583**	**-61,075**	**-92,490**	**-127,205**	**-153,580**	**-185,418**	**-651,508**	**0**
	D. Choice - VAT savings on lower base commission	*USD, monthly*	**36,242**	**36,711**	**35,395**	**36,369**	**40,423**	**43,273**	**44,720**	**273,134**	**0**
	Total (A+B-C+D)	***USD, monthly***	**31,377**	**21,118**	**7,806**	**-5,399**	**-16,899**	**-25,770**	**-38,784**	**-26,550**	**1,943,175**
	Sunk Cost recover%	*%*								**-2%**	**101%**

**Sunk Cost is inclusive of warehouse rental, depreciation, fte staff cost and sg&a*

#2 - SLS Charge Rate discount to Choice: 1-5% SLS ASF discount that Choice can enjoy from SLS true cost savings on warehouse cost and line haul cost

Table 1: Lovito/SCS True Cost Savings to SLS and corresponding SLS discount%

		Unit	SCS							Lovito							Choice						
			SG	MY	TH	TW	VN	PH	BR	SG	MY	TH	TW	VN	PH	BR	SG	MY	TH	TW	VN	PH	BR
Current	FM+SOC/pc	usd/pc	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09
	LH Cost/kg	usd/kg	2.59	2.98	1.76	1.85	1.58	2.78	10.64	2.36	2.47	2.56	1.55	1.65	2.37	10.56	2.53	2.82	1.92	1.82	1.59	2.62	10.63
	CC cost/kg	usd/kg	-	-	-	0.48	-	2.35	4.20	-	-	-	0.48	-	2.32	1.27	-	-	-	0.48	-	2.34	3.81
	LM cost/pc (incl. VAT)	usd/pc	1.15	0.62	0.40	1.29	0.51	0.71	1.20	1.24	0.64	0.43	1.24	0.49	0.69	1.21	1.16	0.62	0.40	1.29	0.50	0.71	1.20
	other cost/pc	usd/pc	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.03	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.03	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.03
	Total Cost/pc	usd/pc	**1.54**	**1.15**	**0.84**	**2.65**	**0.70**	**1.18**	**2.74**	**2.31**	**1.76**	**1.44**	**2.73**	**0.95**	**1.94**	**5.16**	**1.61**	**1.23**	**0.90**	**2.66**	**0.71**	**1.30**	**2.85**
True Cost Savings to SLS	FM+SOC/pc	usd/pc	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.07
	LH Cost/kg	usd/kg	2.59	2.91	1.76	1.85	1.58	2.75	10.05	2.36	2.39	2.56	1.55	1.65	2.34	9.96	2.53	2.74	1.92	1.82	1.59	2.59	10.04
	CC cost/kg	usd/kg	-	-	-	0.48	-	2.35	4.20	-	-	-	0.48	-	2.32	1.27	-	-	-	0.48	-	2.34	3.81
	LM cost/pc (incl. VAT)	usd/pc	1.15	0.62	0.40	1.29	0.51	0.71	1.20	1.24	0.64	0.43	1.24	0.49	0.69	1.21	1.16	0.62	0.40	1.29	0.50	0.71	1.20
	other cost/pc	usd/pc	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.06	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.06	-0.01	0.04	0.14	-0.05	-0.05	-0.01	-0.06
	Total Cost/pc	usd/pc	**1.52**	**1.12**	**0.82**	**2.63**	**0.68**	**1.15**	**2.62**	**2.29**	**1.71**	**1.42**	**2.71**	**0.93**	**1.91**	**4.91**	**1.59**	**1.20**	**0.88**	**2.64**	**0.69**	**1.28**	**2.73**
True Cost savings	FM+SOC/pc	usd/pc (1)	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02	-0.02
	LH Cost/kg	usd/kg (2)	-	-0.07	-	-	-	-0.03	-0.59	-	-0.07	-	-	-	-0.03	-0.59	-	-0.07	-	-	-	-0.03	-0.59
	CC cost/kg	usd/kg (3)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	LM cost/pc (incl. VAT)	usd/pc (4)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	other cost/pc	usd/pc (5)	-	-	-	-	-	-	-0.04	-	-	-	-	-	-	-0.04	-	-	-	-	-	-	-0.04
	Total Cost/pc	usd/pc	**-0.02**	**-0.03**	**-0.02**	**-0.02**	**-0.02**	**-0.02**	**-0.12**	**-0.02**	**-0.05**	**-0.02**	**-0.02**	**-0.02**	**-0.03**	**-0.25**	**-0.02**	**-0.03**	**-0.02**	**-0.02**	**-0.02**	**-0.02**	**-0.12**
Proposed SLS Discount To choice		%	**1%**	**3%**	**2%**	**1%**	**3%**	**2%**	**4%**	**1%**	**3%**	**1%**	**1%**	**2%**	**1%**	**5%**	**1%**	**3%**	**2%**	**1%**	**3%**	**2%**	**4%**
	monthly Vol (order% of CNCB)		*6%*	*8%*	*11%*	*4%*	*8%*	*11%*	*32%*	*1%*	*1%*	*1%*	*0%*	*0%*	*2%*	*2%*	*7%*	*9%*	*12%*	*4%*	*8%*	*13%*	*34%*
	monthly Vol (weight% of CNCB)		*4%*	*4%*	*6%*	*3%*	*5%*	*7%*	*25%*	*1%*	*2%*	*2%*	*0%*	*1%*	*5%*	*4%*	*6%*	*7%*	*8%*	*4%*	*6%*	*12%*	*29%*

vs last walkthrough, key changes

- Adjusting the logic of true cost savings to SLS in linehaul and other cost part, calculation is based on total savings **from CNCB** and then apply to choice UE savings, e.g. MY with choice volume total CNCB can save **5K** per month(P8 can see), then we use this amount divide by Choice Weight Volume, translate to -0.07 usd/kg linehaul savings(see this page green part) contributed by Choice volume
- For VN/TH, this table is 2% discount, this means on top of 29% discount that NNWH MP sellers is enjoying, Choice will get additional 2% more discount vs the NNWH MP sellers from further true cost savings to SLS

Note: FM means first mile, SOC cost means sorting centre operation cost incl. Materials, labour cost etc, BSA means Block Space Arrangement; for NNWH channel, current discount is on top of NNWH channel discount vs STD channel

Key Highlights

Choice is able to enjoy 1-5% discount from true cost savings to SLS in FM/SOC/Linehaul

Areas can save SLS True Cost

1. **FM+SOC Cost:** lower cost due to domestics delivery and relabelling not required as orders are fulfilled directly E2E (一单到底)
2. **Line Haul Cost:** higher volume contributed by Choice allows SLS to negotiate down pricing from vendors mainly in BSA (包板)

Areas that cannot save SLS true cost

3. **Custom Clearance:** PH met the high weight tier w/o Choice volume, BR manages inhouse CC and charges by piece
4. **Last Mile:** mainly handled by SPX across mkt, with charges based on interco rate per pc, furthermore Choice volume to total platform is fairly small (~1%), minimal impact to SPX overall operational true cost
5. **Other cost**: mainly savings in BR of more order consolidation opportunities

#2 SLS Charge Rate discount to Choice - backup | First Mile and Sorting Centre Cost: 0.018usd/pc of true cost savings to SLS when handle Choice orders, due to Choice one order shipment

Table 1: Choice Warehouse Savings Breakdown (based on Mar/25 data)

Cost Components	Unit	All Sellers	Choice	Choice Savings
First Mile (FM)	*usd/pc*	**$0.006**	**$0.005**	**-0.001** [1]
Sorting Center (SoC) OPEX	*usd/pc*	**$0.077**	**$0.063**	
Total Variable Cost	*usd/pc*	**$0.053**	**$0.040**	
Contract Labor	*usd/pc*	$0.037	$0.029	**-0.007**
Warehouse Supplies	*usd/pc*	$0.014	$0.009	**-0.005** [1]
Shuttle & Other	*usd/pc*	$0.002	$0.002	-
Total Fixed Cost	*usd/pc*	**$0.023**	**$0.023**	-
Facility	*usd/pc*	$0.017	$0.017	-
Fixed Asset	*usd/pc*	$0.006	$0.006	-
Linehaul (LH) Handover	*usd/pc*	**$0.007**	**$0.003**	**-0.004** [1]
Total FM+SOC cost/pc	*usd/pc*	$0.089	$0.071	**-0.018**

Key Highlights:

FM+SOC Cost total can save **0.018 usd/pc** when SLS handles Choice orders, mainly from

1. **First Mile:**As Choice warehouse is in the same city and in close to our SoC, the FM cost are reduced.
2. **Contract Labor and Warehouse Supplies** from no site sorting and relabelling required
3. **LH handover**: due to Choice shipments are only processed in SC SoC,there are no costs associated with cross SoC long-distance transportation.

#2 SLS Charge Rate discount to Choice - backup | Linehaul cost Airway: PH/MY with 0.004usd/kg reduction with Choice 10% volume due to cornerstone position for 3PL charters and strong control power even without Choice Volume; BR with a only 0.17usd/kg reduction with Choice 30% volume due to GIG/VCP resource-constrained area

Table 1: Airway True Cost Savings to SLS when adding Choice Vol (Apr'25)

Metrics		Unit	Air				
			SG	MY	PH	TW	BR
Choice Weight		*weekly, T*	5.6	16.1	39.7	4.0	34.4
CNCB Total Weight		*weekly, T*	96.6	245.7	340.7	107.3	120.3
Choice Vol %		*%*	6%	7%	12%	4%	29%
w/ Choice	BSA(包板)						
	Weight	*weekly, T*	61.8	134.4	242.5	25.2	40.9
	Quotation	*usd/kg*	2.20	2.27	2.57	1.75	9.50
	Ad-hoc (临采)						
	Weight	*weekly, T*	34.8	111.3	98.2	82.1	79.4
	Quotation	*usd/kg*	2.36	2.60	2.73	1.54	10.50
	Total Linehaul/kg	*usd/kg*	2.26	2.42	2.62	**1.59**	10.16
w/o Choice	BSA(包板)						
	Weight	*weekly, T*	58.22	124.99	213.40	25.20	29.20
	Quotation	*usd/kg*	2.20	2.28	2.58 (1)	1.75	10.00 (2)
	Ad-hoc (临采)						
	Weight	*weekly, T*	32.8	103.5	86.4	78.1	56.7
	Quotation	*usd/kg*	2.36	2.60	2.73	1.54	10.50
	Total Linehaul/kg	*usd/kg*	2.26	2.42	2.62	**1.59**	10.33
Linehaul Cost Savings to CNCB overall (/kg)		*usd/kg*	-	0.005	0.004	-	0.170
Linehaul Cost Savings to CNCB overall (monthly $)		*monthly, usd*	0	**5,037**	**5,500**	0	**87,681**

Note: BSA rate reduction for MY/PH only applicable to South China Route of KUL/MNL, which accounts for 67% for MY BSA, 43% for PH BSA

Key Highlights:

1 Airshipping in SEA:

- PH MNL and MY KUL BSA LH part, SLS volume is the **cornerstone** for the 3PL's charters, so we **have a strong control power during the negotiation** to not increase too much without Choice volume
- Thus, 3PLs will only increase by 0.014 USD/KG for PH MNL and KUL BSA part without Choice volume, ~0.004/0.005 usd/kg to CNCB overall linehaul reduction

2 Airshipping in BR:

- BR rate reduction mainly in BSA (GIG/VCP) airport), with a est. **0.5 USD/kg** savings despite Choice accounts for ~30% of total volume

- Reasons for smaller decrease in BR line haul
  - **VCP/GIG is resource-constrained** areas compared with GRU, with a higher demand and limited cost benefit, may even increase rates when customized capacity is required
  - **CB only in VCP/GIG**, due to SHP CC warehouse location

#2 SLS Charge Rate discount to Choice - backup | linehaul cost Landway: no cost difference for the landway markets with less than 1 truck volume

Table 1: Landway True Cost Savings to SLS when adding Choice Vol (Apr'25)

Metrics		Unit	Land	
			TH	VN
Choice Weight		*daily, kg*	3,556	3,187
CNCB Total Weight		*daily, kg*	48,200	50,824
Choice Vol %		*%*	1 8%	6%
Choice truck qty		*daily, #*	2 0.5	0.7
CNCB Total truck qty		*daily, #*	7.1*	11.7*
w/choice	CNCB Total Linehaul Cost/kg	*usd/kg*	1.82	1.58
w/o choice	CNCB Total Linehaul Cost/kg	*usd/kg*	1.82	1.58
Overall cost saving		*usd/month*	0	0

**TH using 45 HQ trucks(78-80CBM), VN using 9.6m trucks(55-58CBM).*
**1.5-2 trucks for TH is not a full truck*

Key highlights:

Landway (LH):

1. Choice volume accounts for only ~6-8% of total volume
2. **only have 0.5 and 0.7 additional trucks for TH and VN**. It will not benefit to negotiate a better rate only considering the Choice volume contribution.

Special note for Land Customs Clearance, with independent CC and Choice volume would benefit the pricing

Landway(CC):

- **TH CC:** The new independent CC project launch can benefit the Choice cost as well after fully launch by July
- **VN CC:** The new policy was launched from Feb 2025, independent CC is also under preparation and target to further negotiate with CC vendors as well

#3 Impact to Choice Seller P&L | FY'25 Seller P&L is able to breakeven at +1.8mil per SEA Fin view, for mgmt reporting view at -29.8mil post SLS discount revision per Choice true cost savings to SLS

Table 1: Seller P&L simulations new commission rate and SLS discount rate

version	Metrics	Mkt	SCS										Lovito										Choice
			Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25	FY25
			Actuals	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Actuals	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Proj	Proj
Current Budget Submission	Seller P&L	SG	98k	91k	99k	96k	87k	95k	131k	146k	168k	1,296k	-3k	-12k	-8k	-5k	-6k	-5k	-3k	-1k	0k	-67k	1,229k
		MY	-69k	-82k	-57k	-70k	-82k	-67k	-35k	-8k	-1k	-1,247k	-55k	-53k	-38k	-32k	-35k	-32k	-28k	-24k	-21k	-649k	-1,896k
		TH	-168k	-239k	-218k	-226k	-238k	-232k	-192k	-170k	-170k	-3,140k	-63k	-26k	-9k	-1k	-5k	0k	8k	12k	18k	-343k	-3,483k
		VN	-129k	-282k	-277k	-276k	-288k	-273k	-262k	-239k	-253k	-3,013k	-10k	-16k	-8k	-4k	-5k	-3k	2k	6k	12k	-142k	-3,155k
		PH	102k	53k	82k	83k	47k	75k	156k	232k	278k	1,133k	-112k	-59k	10k	41k	27k	43k	91k	133k	180k	-267k	866k
		BR	123k	247k	238k	201k	171k	215k	347k	434k	527k	4,304k	152k	58k	97k	133k	124k	153k	191k	237k	217k	1,327k	5,631k
		Total	-0.0m	-0.2m	-0.1m	-0.2m	-0.3m	-0.2m	0.2m	0.4m	0.6m	-0.3m	-0.1m	-0.1m	0.0m	0.1m	0.1m	0.2m	0.3m	0.4m	0.4m	-0.1m	-0.4m
	MP PC2	Total	-3.2m	-3.3m	-2.9m	-2.9m	-2.8m	-3.0m	-3.3m	-3.7m	-3.7m	-40.0m	-0.3m	-0.3m	-0.2m	-0.3m	-0.3m	-0.3m	-0.3m	-0.3m	-0.3m	-4.1m	-44.1m
	SLS	Total	0.5m	0.4m	0.6m	0.5m	0.4m	0.4m	0.6m	0.5m	0.6m	4.5m	0.0m	0.0m	-0.0m	-0.0m	-0.1m	-0.1m	-0.1m	-0.1m	-0.1m	-0.4m	4.1m
	MP PC2+SLS+Seller PnL	Total	-2.7m	-3.0m	-2.5m	-2.6m	-2.7m	-2.7m	-2.6m	-2.7m	-2.5m	-35.8m	-0.4m	-0.4m	-0.2m	-0.2m	-0.2m	-0.2m	-0.1m	-0.0m	0.0m	-4.7m	-40.5m
SEA Fin View based on new commission and SLS discount	Seller P&L	SG	98k	91k	109k	107k	98k	105k	142k	158k	180k	1,374k	-3k	-12k	-6k	-3k	-4k	-2k	-1k	2k	3k	-51k	1,323k
		MY	-69k	-82k	-57k	-70k	-82k	-67k	-35k	-8k	-1k	-1,247k	-55k	-53k	-38k	-32k	-35k	-32k	-28k	-24k	-21k	-649k	-1,896k
		TH	-168k	-239k	-202k	-212k	-224k	-218k	-177k	-154k	-154k	-3,037k	-63k	-26k	-2k	7k	3k	8k	16k	20k	27k	-287k	-3,324k
		VN	-129k	-282k	-269k	-269k	-281k	-266k	-254k	-231k	-244k	-2,957k	-10k	-16k	-6k	-1k	-3k	-1k	5k	9k	15k	-123k	-3,080k
		PH	102k	53k	82k	83k	47k	75k	156k	232k	278k	1,133k	-112k	-59k	36k	69k	55k	71k	123k	169k	219k	-51k	1,082k
		BR	123k	247k	368k	333k	298k	346k	491k	586k	681k	5,274k	152k	58k	129k	170k	160k	192k	233k	283k	261k	1,604k	6,878k
		Total	-0.0m	-0.2m	0.1m	0.0m	-0.1m	0.1m	0.4m	0.7m	0.9m	1.3m	-0.1m	-0.1m	0.1m	0.2m	0.2m	0.2m	0.4m	0.5m	0.5m	0.5m	1.8m
	MP PC2	Total	-3.2m	-3.3m	-3.1m	-3.1m	-3.0m	-3.1m	-3.5m	-3.8m	-3.9m	-41.2m	-0.3m	-0.3m	-0.3m	-0.3m	-0.3m	-0.4m	-0.4m	-0.4m	-0.4m	-4.7m	-45.9m
	SLS	Total	0.5m	0.4m	0.6m	0.5m	0.4m	0.4m	0.6m	0.5m	0.6m	4.5m	0.0m	0.0m	-0.0m	-0.0m	-0.1m	-0.1m	-0.1m	-0.1m	-0.1m	-0.4m	4.1m
	MP PC2+SLS+Seller PnL	Total	-2.7m	-3.0m	-2.5m	-2.6m	-2.7m	-2.7m	-2.5m	-2.6m	-2.4m	-35.4m	-0.4m	-0.4m	-0.2m	-0.2m	-0.2m	-0.2m	-0.1m	-0.0m	0.0m	-4.7m	-40.1m
Management Reporting View based on new commission and SLS discount	Seller P&L	SG	98k	91k	-26k	-28k	-33k	-29k	-4k	0k	22k	377k	-3k	-12k	-40k	-41k	-43k	-44k	-45k	-48k	-48k	-348k	28k
		MY	-69k	-82k	-282k	-299k	-304k	-293k	-279k	-268k	-264k	-2,917k	-55k	-53k	-89k	-88k	-89k	-88k	-90k	-88k	-87k	-1,057k	-3,974k
		TH	-168k	-239k	-558k	-563k	-563k	-566k	-559k	-559k	-563k	-5,626k	-63k	-26k	-45k	-39k	-43k	-39k	-34k	-31k	-27k	-623k	-6,250k
		VN	-129k	-282k	-486k	-486k	-491k	-482k	-491k	-482k	-498k	-4,559k	-10k	-16k	-39k	-38k	-39k	-38k	-38k	-37k	-36k	-408k	-4,967k
		PH	102k	53k	-525k	-552k	-560k	-555k	-539k	-514k	-472k	-3,538k	-112k	-59k	-250k	-240k	-253k	-248k	-242k	-232k	-219k	-2,476k	-6,014k
		BR	123k	247k	-1,654k	-1,666k	-1,632k	-1,635k	-1,538k	-1,499k	-1,604k	-9,058k	152k	58k	-52k	-21k	-14k	14k	43k	80k	88k	313k	-8,745k
		Total	-0.0m	-0.2m	-3.5m	-3.6m	-3.6m	-3.6m	-3.4m	-3.3m	-3.4m	-25.2m	-0.1m	-0.1m	-0.5m	-0.5m	-0.5m	-0.4m	-0.4m	-0.4m	-0.3m	-4.6m	-29.8m
	MP PC2	Total	-3.2m	-3.3m	-3.1m	-3.1m	-3.0m	-3.1m	-3.5m	-3.8m	-3.9m	-41.2m	-0.3m	-0.3m	-0.3m	-0.3m	-0.3m	-0.4m	-0.4m	-0.4m	-0.4m	-4.7m	-45.9m
	SLS	Total	0.5m	0.4m	4.2m	4.1m	3.9m	4.0m	4.3m	4.5m	4.7m	30.6m	0.0m	0.0m	0.6m	0.6m	0.6m	0.6m	0.7m	0.7m	0.7m	4.6m	35.2m
	MP PC2+SLS+Seller PnL	Total	-2.7m	-3.0m	-2.5m	-2.6m	-2.7m	-2.7m	-2.6m	-2.7m	-2.5m	-35.7m	-0.4m	-0.4m	-0.2m	-0.2m	-0.2m	-0.2m	-0.1m	-0.0m	0.0m	-4.7m	-40.4m

Key Highlights:

By factoring latest commission rate and SLS discount,

From SeaFin view (without adjusting SLS discount in system to avoid bring in volatile seller PnL)

1. FY25 Lovito/SCS will be able to breakeven at 1.8mil with savings from less platform cost and operating profit from FBS
- Breakeven pace bring forward

From Mgmt reporting view (by factoring commission and SLS discount)

2. FY25 Lovito/SCS will be at -30mil loss by returning profit to SLS, with a Choice SLS profit change from 4mil to 35mil
- Breakeven will be hard till Dec'25

vs last walkthrough,

- key changes is just adding the view for both seafin (which don't change SLS discount but factor in commission change) and management reporting view (change SLS discount rate and factor in commission change)
- To decide if to put MP PC2 and SLS here, given mainly to see seller PnL angle

#3 Impact to Choice Seller P&L Backup | key assumptions used for MP commission and SLS discount by factoring latest commission increase plan and Anbo warehouse commission discount, SLS to reflect the new discount per Choice true cost volume savings to SLS

Table: Seller P&L simulation key MP base commission and SLS ASF discount assumptions (management reporting view)

SLS ASF Assumptions	view	BU	SG	MY	TH	TW	VN	PH	BR	Total
	Current	Lovito	35%	34%	35%	35%	42%	33%	34%	34%
		SCS	25%	30%	39%	28%	30%	30%	33%	32%
	New	Lovito	1%	3%	1%	1%	2%	1%	5%	2%
		SCS	1%	3%	2%	1%	3%	2%	4%	3%
	New vs Current	Lovito	-34%	-31%	-34%	-34%	-40%	-32%	-29%	
		SCS	-24%	-27%	-37%	-27%	-27%	-28%	-29%	
MP Commission Assumptions	**view**	**BU**	**SG**	**MY**	**TH**	**TW**	**VN**	**PH**	**BR**	**Total**
	Current	Lovito	11.0%	13.0%	5.0%	5.1%	10.4%	11.0%	7.8%	9.5%
		SCS	11.0%	13.0%	5.0%	5.0%	10.4%	11.0%	7.8%	8.9%
	New	Lovito	10.0%	13.0%	3.0%	3.0%	9.3%	10.0%	5.8%	8.1%
		SCS	10.0%	13.0%	3.0%	3.0%	9.3%	11.0%	5.8%	7.5%
	New vs Current	Lovito	-1.0%	-	-2.0%	-2.0%	-1.1%	-1.0%	-2.0%	/
		SCS	-1.0%	-	-2.0%	-2.0%	-1.1%	-	-2.0%	/

THE END